

Value Emergence Determination Module (VEDM)

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Canonical Definition

Value Emergence Determination Module (VEDM) is the fourth Core Module of the Value Emergence Standard (VES) within VFM® — Value Flow Mechanisms Architecture.

VEDM governs the formal determination of whether potential value has actually become existent value within the defined Value Context.

The Module receives the governed emergence conditions, emergence threshold, and emergence event established through the preceding modules and determines whether their combined basis is sufficient to establish the transition:

Potential Value → Existing Value

VEDM therefore creates the decisive methodological gate between:

a value that could exist

and

a value that has emerged.

It does not determine whether that value is legally recognized, owned, marketable, taxable, validated, correctly priced, economically beneficial to every stakeholder, or universally accepted.

It determines one narrower question:

Has the governed value actually emerged?

Architectural Position

VEDM is the fourth module within the Value Emergence Standard.

It follows:

VEEM — Value Emergence Event Module

and precedes:

VERM — Value Emergence Record Module.

The internal sequence is:

Emergence Conditions → Emergence Threshold → Emergence Event → Emergence Determination → Emergence Record

The modules perform distinct functions:

VECM establishes the conditions under which value may emerge.

VETM establishes when those conditions become sufficient for emergence.

VEEM identifies what materially occurred at the emergence boundary.

VEDM determines whether the governed basis establishes that value has actually emerged.

VERM preserves that determination as a governed lifecycle record.

Internal Value Flow

Defined Value Context → Identified Value Origin → Potential Value → Emergence Conditions → Emergence Threshold → Emergence Event → Determination Basis Assembly → Context Consistency Check → Threshold–Event Relationship Assessment → Value Existence Assessment → Uncertainty Assessment → Emergence Determination → Existing Value / Value Not Established / Conditional State → Emergence Record

VEDM is therefore the point where the architecture can legitimately say:

This value now exists.

Governance Flow Position

Within the complete VFM® governance flow:

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development / Value Degradation → Value Nullification → Value Restoration / Value Extinction

VEDM operates at the final determination stage inside Value Emergence, immediately before the result is formally recorded.

It establishes whether the lifecycle may proceed from:

Value Emergence

to:

Value Recognition.

Operational Purpose

Organizations routinely assume that value exists because something else exists.

Examples include:

Money Spent → therefore Value Created

Asset Built → therefore Value Created

Technology Deployed → therefore Value Created

Project Completed → therefore Value Created

Product Delivered → therefore Value Created

Capability Available → therefore Value Created

Revenue Generated → therefore Value Created

VEDM prevents these automatic equivalences.

Each may provide evidence relevant to value emergence.

None establishes value emergence independently unless it satisfies the governed Value Context and emergence basis.

VEDM therefore introduces an explicit Value Existence Determination rather than allowing value to be inferred from activity, expenditure, ownership, output, or institutional assertion.

Determination Basis

A Value Emergence Determination should be based upon a reconstructable relationship between:

Governed Value Context

Value Origin

Emergence Conditions

Emergence Threshold Emergence Event Material Evidence Remaining Uncertainty

The exact evidential requirement may vary according to the value being governed.

VEDM does not impose one universal formula for all value.

It requires the determination basis to be explicit.

Value Existence Test

At minimum, VEDM should establish whether:

1. the governed value remains the same value identified through the Value Context; 2. a relevant Value Origin exists; 3. required emergence conditions were materially satisfied; 4. the applicable emergence threshold was reached; 5. a qualifying emergence event occurred; 6. the event materially relates to the governed value; 7. the claimed value is distinguishable from the resources consumed to produce it; 8. material uncertainty does not make the existence claim unsupported; 9. no known contradiction defeats the determination; 10. the available basis supports an explicit emergence state.

Only then should the architecture establish:

Existing Value.

Value Existence ≠ Value Amount

VEDM determines whether value exists.

It does not necessarily determine:

how much value exists.

This distinction is essential.

A new capability may clearly create value while the exact economic magnitude of that value remains uncertain.

Therefore:

Value Existence Determination $\neq$ Value Quantification

and:

Unknown Value Amount $\neq$ No Value

A legitimate Value Emergence Determination may exist even when precise monetary valuation is impossible.

Value Existence $\neq$ Price

Market price may provide information concerning value.

Price does not define value existence under VFM®.

An object may:

have value without an observable market price; have a price while the governed value being assessed has not emerged;

have multiple prices across markets; temporarily have no liquid market; provide operational, strategic, scientific, social, infrastructural, or capability value without a direct market price.

Therefore:

Price $\neq$ Value Existence

VEDM protects the architecture from reducing value to market pricing.

Value Existence $\neq$ Cost

Cost establishes resource consumption.

VEDM establishes value emergence.

The two may be related, but they are not equivalent.

CHF 100 million invested

does not establish:

CHF 100 million of value created.

Equally:

CHF 1 million invested

does not prevent:

CHF 100 million of value from emerging.

This separation allows VFM® to analyze value independently from the accounting history of the resources used to create it.

Value Existence ≠ Revenue

Revenue may result from value, market position, contractual structure, scarcity, pricing power, regulation, transfer, speculation, or other mechanisms.

VEDM does not automatically treat revenue as proof that the specific governed value has emerged.

Likewise, value may emerge before revenue exists.

Therefore:

Revenue ≠ Value Emergence

and

No Revenue ≠ No Value.

Value Existence ≠ Asset Completion

A completed asset may remain only a potential value source.

Examples include:

an unused factory; unused infrastructure; dormant intellectual property; an undeployed algorithm;

an unutilized production capability; an unused satellite capability; an empty logistics facility; an installed but ineffective technology.

Asset completion may therefore precede value emergence.

VEDM requires the architecture to determine whether the defined value actually crossed into existence.

Value Existence ≠ Value Recognition

VEDM establishes whether value exists.

The subsequent Value Recognition Standard (VRS) governs whether that existing value may be recognized within a defined governance context.

This produces a critical VFM® distinction:

Value may exist before it is recognized.

Therefore:

Emergence Determination → Existing Value → Recognition Governance

not:

Recognition → Value Existence.

Recognition does not create the underlying value merely by declaring it.

Positive Emergence Determination

A Positive Emergence Determination is established where the governed basis sufficiently supports that the identified value has moved from potential to existent value.

The resulting state is:

Existing Value

This state becomes eligible to enter the Value Recognition Standard.

A positive determination should identify:

the value determined to exist; the applicable Value Context; relevant Value Origin; satisfied conditions; threshold basis; emergence event; determination time; material limitations; uncertainty; applicable context.

Negative Emergence Determination

A Negative Emergence Determination establishes that the available basis does not support the conclusion that the governed value has emerged.

This does not necessarily mean:

the value can never emerge.

It means:

Value Emergence Not Established under the current basis.

The value may remain:

Potential Value

and later undergo a new emergence pathway.

Conditional Emergence Determination

Some value may be determined to exist only under defined conditions.

For example:

Value exists for beneficiary group A under operational condition B, but has not been established outside that context.

VEDM therefore permits:

Conditional Emergence Determination.

Conditional existence must remain explicitly bounded.

It must not silently become universal value existence.

Indeterminate Emergence

Where the available basis is insufficient to support either a positive or negative determination, VEDM should permit:

Emergence Indeterminate.

This is important because methodological governance must not force certainty where certainty does not exist.

The correct outcome may be:

insufficient basis to determine whether value has emerged.

This can trigger:

further observation; additional evidence; renewed emergence event assessment; threshold reassessment; clarification of Value Context.

Emergence Determination States

VEDM may assign at least the following states:

1. Not Assessed

No formal emergence determination has yet occurred.

2. Emergence Not Established

The current basis does not establish that value has emerged.

3. Emergence Indeterminate

The available basis does not permit a sufficiently supported determination.

4. Conditionally Emerged

Value existence is established only within explicitly defined conditions.

5. Emerged

The governed basis supports that the identified value exists.

6. Determination Suspended

A previously issued determination requires reassessment because a material problem affecting its basis has arisen.

7. Determination Superseded

A later governed determination replaces the previous determination.

These states make value emergence machine-governable rather than dependent upon unstructured narrative claims.

Determination Time

VEDM should establish when the emergence determination becomes effective.

This time may differ from:

the time the Value Origin was created; the time expenditure occurred; the time an asset was completed; the time the threshold was reached; the time the emergence event began; the time evidence was reviewed; the time the determination was formally documented.

Where possible, VEDM should distinguish:

Emergence Event Time

from

Emergence Determination Time.

This supports later lifecycle reconstruction.

Retroactive Determination

Value may have emerged before the organization formally recognized or assessed that emergence.

VEDM may therefore support a retroactive determination where sufficient evidence exists.

For example:

Value Emerged at T1

but

Value Emergence Determination issued at T2.

The architecture must preserve both timestamps.

This becomes especially important for accounting, investment analysis, public policy, economic measurement, project evaluation, and future tax-governance interfaces.

Determination Scope

A Value Emergence Determination must remain connected to its defined scope.

Value may be established:

for one beneficiary but not another; in one jurisdictional or operational context but not another; for one purpose but not another; under one configuration but not another; during one period but not another; for one value dimension but not another.

VEDM therefore rejects the assumption:

Value Exists Somewhere → Value Exists Universally.

Partial Emergence

Some value structures may emerge progressively.

VEDM may therefore determine that only a defined part, dimension, capability, beneficiary relationship, or portion of the governed value has emerged.

This should not be confused with Value Development.

Partial Emergence means the original emergence process is incomplete.

Value Development means already-existing value subsequently increases, strengthens, matures, compounds, or develops.

The distinction is:

Incomplete emergence ≠ development of existing value.

Composite Value Emergence

A governed value may depend upon multiple constituent value components.

VEDM may determine:

Component A Emerged

Component B Emerged

Component C Not Established

while the composite value remains:

Not Yet Fully Emerged.

This enables VFM® to govern complex infrastructure, industrial, technological, financial, scientific, and mission systems without forcing binary simplification.

Contradictory Evidence

VEDM must account for materially contradictory evidence.

A Value Emergence Determination must not be based solely upon evidence supporting the preferred conclusion.

Contradictory evidence may:

prevent positive determination; produce an indeterminate state; narrow the determination scope; create conditional emergence; trigger reassessment of the emergence event; require additional evidence.

Preferred outcome $\neq$ governed determination.

Uncertainty

Uncertainty does not automatically prevent Value Emergence Determination.

VEDM distinguishes between:

uncertainty about the exact magnitude of value

and

uncertainty about whether value exists at all.

The first may permit a positive determination.

The second may require conditional or indeterminate status.

This distinction allows VFM® to operate in environments where precise valuation is impossible but value existence is nevertheless materially demonstrable.

Determination Reassessment

A Value Emergence Determination may require reassessment where:

material evidence changes; the Value Context was incorrectly defined; the emergence event was misidentified; threshold satisfaction is challenged; contradictory evidence emerges; fraud or data error is discovered; the beneficiary relationship was misunderstood; the claimed value was actually a different value; the determination was based upon an invalid dependency.

VEDM must therefore support controlled reassessment.

Emergence Determination $\neq$ Validation

Determination

VEDM does not replace VALIDOS®.

The distinction is:

VEDM: Has the specifically governed value emerged according to the VFM® emergence structure?

VALIDOS®: Can a defined Validation Object or claim legitimately receive a Validation Determination under the applicable validation

criteria, method, evidence, and reliance conditions?

A Value Emergence Determination may itself later become a Validation Object.

The two governance questions remain distinct.

Emergence Determination $\neq$ Accounting

Recognition

VEDM does not determine whether value must appear on:

a balance sheet; income statement; financial report; regulatory filing; accounting ledger.

Accounting recognition is a separate governance and regulatory question.

VFM® can provide an upstream value-lifecycle structure that accounting systems may later reference.

This distinction is strategically important:

Value may exist even where existing accounting rules do not recognize it as an accounting asset.

Emergence Determination ≠ Taxable Event

A determination that value exists does not establish that tax is due.

Taxation may depend upon:

realization; transfer; jurisdiction; legal classification; taxable event; taxpayer status; statutory rules; exemptions; timing.

Therefore:

Value Emergence ≠ Tax Liability.

A future tax-governance architecture may use VFM® value states and transitions as inputs without VFM® becoming a tax system.

Emergence Determination ≠ Ownership

VEDM determines whether value exists.

It does not determine who owns that value.

The underlying object, capability, right, or value relationship may involve separate identity, ownership, authority, provenance, or transfer governance.

Therefore:

Value Existence ≠ Value Ownership.

Determination Integrity

A Value Emergence Determination should be:

context-linked; origin-linked; threshold-linked; event-linked; evidence-aware; uncertainty-aware; scope-bounded; temporally identifiable; reconstructable; capable of reassessment.

The determination should not exist merely as an unsupported statement:

“Value was created.”

VEDM converts that assertion into a governable methodological conclusion.

Determination Logic

A minimum operational logic may be:

Value Context valid? ↓ Value Origin identified? ↓ Emergence Conditions satisfied? ↓ Emergence Threshold reached? ↓
Qualifying Emergence Event occurred? ↓ Event materially connected to governed value? ↓ Contradictory evidence

assessed? ↓ Material uncertainty acceptable for determination? ↓ YES → Emerged / Conditionally Emerged NO → Emergence Not Established / Indeterminate

This logic may be implemented manually, computationally, or through AI-supported governance systems.

Minimum Implementation Framework

A minimum VEDM implementation should establish:

1. Governed Value Confirmation

Confirm the exact value whose emergence is being determined.

2. Context Confirmation

Confirm the relevant Value Context, object, beneficiary, purpose, and reference framework.

3. Origin Confirmation

Confirm the governed Value Origin supporting the emergence pathway.

4. Conditions and Threshold Review

Confirm the applicable emergence conditions and threshold state.

5. Emergence Event Review

Confirm the event or composite event forming the immediate emergence basis.

6. Evidence Review

Identify the material evidence supporting and challenging emergence.

7. Uncertainty Assessment

Determine whether remaining uncertainty affects existence, magnitude, scope, or only downstream recognition.

8. Determination

Assign the appropriate Value Emergence Determination state.

9. Scope and Time Definition

Define the context and temporal boundary within which the determination applies.

10. Transfer to Record

Transfer the governed determination to VERM for preservation.

Governance Outputs

VEDM may produce:

Value Emergence Determination Value Existence Determination Value Emergence Determination State Value Emergence Basis Value Emergence Evidence Basis Value Emergence Contradiction Record Value Emergence Uncertainty Statement Conditional Emergence Statement Partial Emergence Determination Composite Value Emergence Determination Value Emergence Scope Statement Value Emergence Effective Time Value Emergence Determination Time Value Emergence Reassessment Trigger Governed Existing Value

These outputs become the governed input for:

VERM — Value Emergence Record Module.

Use Case 1 — Banking & Infrastructure Finance:

Has the Investment Actually Created Value?

A banking consortium finances a CHF 1.2 billion infrastructure project.

Construction is completed.

The asset exists physically.

The financing has been deployed.

The project appears operational.

Traditional reporting may show:

Capital Deployed → Asset Completed → Project Operational

But the financing institutions need to answer a different question:

Has the value for which the capital was deployed actually emerged?

Suppose the governed value is:

a transport capability capable of sustainably moving the required passenger volume while reducing defined network congestion.

VFM® separates:

CHF 1.2bn Expenditure → Infrastructure Asset → Potential Value → Emergence Conditions → Emergence Threshold
→ Operational Emergence Event → VEDM Determination

If the infrastructure operates but does not achieve the minimum capability required by the defined Value Context, VEDM may determine:

Emergence Not Established

or:

Conditionally Emerged.

If the governed basis demonstrates that the required capability exists, VEDM may establish:

Emerged.

The bank can therefore distinguish between:

money deployed

asset completed

asset operational

and

value actually emerged.

That distinction can materially improve project finance monitoring, restructuring decisions, investment governance, portfolio analysis, public-private financing, and post-investment evaluation.

Use Case 2 — AI / Space Mission: Capability

Success vs. Actual Mission Value

A space organization develops an AI-enabled autonomous navigation system for a planetary mission.

Billions are spent on research, simulation, hardware, launch, and mission operations.

The spacecraft reaches the target.

The navigation system activates successfully.

Technically, the project has achieved major milestones.

But suppose the governed value is:

autonomous navigation capability that materially increases mission access to scientifically valuable locations unavailable under the previous control architecture.

VFM® does not infer value merely from:

R&D expenditure

launch success

system deployment

or

technical activation.

The emergence pathway may instead be:

Navigation Capability Source → Potential Mission Value → Defined Emergence Conditions → Performance Threshold
→ Autonomous Navigation Event → Successful Access to Previously Unreachable Scientific Target → VEDM
Determination

VEDM may then establish:

Emerged

for the governed mission value.

The organization can now distinguish:

technology exists

from

technology works

from

technology created the value for which it was developed.

This makes VFM® applicable not merely to financial valuation, but to mission governance, AI investment, scientific programs, infrastructure, public spending, industrial development, and other environments where enormous resource expenditure does not itself prove value creation.

Foundational Principles

Potential value is not existing value.

Threshold satisfaction is not automatically value existence.

An emergence event is not automatically a positive emergence determination.

Value existence is not value amount.

Value is not reducible to price.

Cost is not value.

Revenue is not value.

Asset completion is not value emergence.

Capability existence is not necessarily value emergence.

Value may exist before it is recognized.

Value may exist without being owned, priced, taxed, traded, or recognized in accounting.

Uncertainty about value magnitude does not automatically mean uncertainty about value existence.

A Value Emergence Determination must remain connected to the Value Context, Value Origin, emergence conditions, threshold, event, evidence, scope, and uncertainty that support it.

VEDM establishes whether potential value has crossed into existence; it does not determine what every external system must subsequently do with that value.

Canonical Closing Statement

Value Emergence Determination Module establishes the decisive existence gate within the Value Emergence Standard by determining whether the governed value has legitimately transitioned from potential value into existing value. Through explicit linkage of Value Context, Value Origin, emergence conditions, emergence thresholds, emergence events, evidence, contradictions, uncertainty, scope, and temporal position, VEDM prevents expenditure, asset completion, technical deployment, transactions, revenue, institutional assertion, or operational activity from being automatically interpreted as value creation. By separating value existence from value magnitude, price, accounting recognition, ownership, taxation, validation, and subsequent recognition, VEDM creates a distinct governable determination that can be used across banking, investment, infrastructure, industry, science, AI, public finance, mission systems, and other value-bearing environments. VEDM therefore establishes the methodological point at which VFM® may legitimately state that potential value has become existent value, while preserving the conditions and boundaries required for that value to proceed into formal Value Recognition and the subsequent value lifecycle.

Modul5

Governed Links

[→ Value Emergence Standard \(VES\)](#)

[→ VFM® Architecture Map](#)

[→ Previous: Value Emergence Event Module \(VEEM\)](#)

[→ Next: Value Emergence Record Module \(VERM\)](#)

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